



**DEPARTMENT OF VETERAN
AFFAIRS**

Office of Acquisition and Logistics
National Acquisition Center
P.O. Box 76
Hines, IL 60141

**Justification for an Exception to Fair
Opportunity**

FAR 16.505(b)(2)(i)(C) – Logical
Follow-on

(1) Identification of the agency and the contracting activity.

This Justification for an Exception to Fair Opportunity is on behalf of VISN 15, Kansas City VAMC and will be executed by the Department of Veterans Affairs National Acquisition Center (NAC – 36A797) located in Hines, IL.

(2) Nature and/or description of the action being approved.

This activity intends to issue a sole-source delivery order against Indefinite Delivery Indefinite Quantity (IDIQ) contract VA797H-15-J-0143 awarded to GE Healthcare to upgrade the existing MRI scanner located at Kansas City, MO VA Medical Center.

(3) A description of the supplies or services required to meet the agency's needs, including the estimated value.

The customer is in need of an upgrade of MRI 1.5T to meet current cybersecurity requirements. This will include associated technical services necessary to complete hardware upgrades that are affected by the upgrade.

The estimated value of the MRI upgrade \$1,227,786.00.

(4) An identification of the exception to fair opportunity (see 16.505(b) (2)) and the supporting rationale, including a demonstration that the proposed contractor's unique qualification or the nature of the acquisition requires use of the exception cited. If the contracting officer uses the logical follow-on exception, the rationale shall describe why the relationship between the initial order and the follow-on is logical (e.g. in terms of scope, period of performance, or value).

The order will be issued on a sole-source basis as a logical follow on in accordance with FAR 16.505(b)(2)(i)(C) in the interest of economy and efficiency to an order already issued under the contract.

Only one such awardee is capable of providing the supplies or services. The equipment was originally procured and installed in FY2019 under NAC Delivery Order VA797H-15-J-0143 and PO 589-B40008 for \$1,938,797.00. Since that time, the manufacturer has released a “forklift upgrade” which includes upgrading the Operating System meeting current cybersecurity requirements. The original equipment manufacturer (OEM), GE Healthcare, is the only contractor who is able to provide the upgrade and as such is a logical follow-on to the original contract, due to the proprietary nature of the software upgrade. The OEM is the only organization capable of owning trade information about the system and as such is the only one qualified to provide and perform the upgrade, with the expectation that the systems continue operating as expected in a safe manner.

(5) A determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

The contracting officer for the resultant order has determined the prices offered to be fair and reasonable for this justification for an exception to fair opportunity. All items are on GE IDIQ contract VA797H-17-D-0024 priced at or below the contract price, which was previously determined fair and reasonable at time of contract award, and there have been no significant changes to the industry or market conditions that would result in changes to the reasonableness of the underlying contract prices.

(6) Any other facts supporting the justification.

This is a medical device which received FDA 510K medical device certification in the specific configuration which the OEM manufactured it. This information is known only to the OEM.

(7) A statement of the actions, if any, the agency may take to remove or overcome any barriers that led to the exception to fair opportunity before any subsequent acquisition for the supplies or services is made.

Future requirements will be handled on a case by case basis and all attempts will be made to provide fair opportunity to all schedule holders when appropriate.

(8) The contracting officer’s certification that the justification is accurate and complete to the best of the contracting officer’s knowledge and belief.

By signing this justification, the Contracting Officer hereby certifies that the justifications are accurate and complete to the best of their knowledge.

(9) Evidence that any supporting data that is the responsibility of the technical or

requirements personnel (e.g., verifying the Government's minimum needs or requirements or other rationale for an exception to fair opportunity) and which form a basis for the justification have been certified as complete and accurate by the technical or requirements personnel.

By signing this justification, the requiring activity hereby certifies that the justification is accurate and complete to the best of their knowledge. The technical information contained in the proposal was reviewed and certified by the facility Biomedical Engineering Supervisor and end user (Radiology) staff.

(10) A written determination by the approving official that one of the circumstances in (b)(2)(i)(A) through (F) of this section applies to the order.

Based on the information contained herein, a determination has been made that this requirement meets the exception at FAR 16.505(b)(2)(i)(C) since it is a logical follow-on to an order already issued under the contract. All awardees were given a fair opportunity to be considered for the original order.

CERTIFICATION AND APPROVAL

TECHNICAL/REQUIREMENTS CERTIFICATION:

Pursuant to FAR 16.505(b)(2)(ii)(B)(9), I certify that any supporting data that is my responsibility and which forms a basis for the justification is complete and accurate to the best of my knowledge and belief.

MICHAEL
DECKER

Digitally signed by
MICHAEL DECKER
Date: 2025.03.11
11:41:22 -05'00'

Michael R Decker
Program Manager
VISN 15, Kansas City

CONTRACTING OFFICER CERTIFICATION:

Pursuant to FAR 16.505(b)(2)(ii)(B)(8), I certify that the justification is complete and accurate to the best of my knowledge and belief.

**SHEILA
HENDERSON**

Digitally signed by SHEILA
HENDERSON
Date: 2025.03.11 11:50:00 -05'00'

Sheila Henderson
Contracting Officer
VA National Acquisition Center – Hines
High-Tech Medical Equipment Admin Division

Regina G. Blair
Chief
VA National Acquisition Center – Hines
High-Tech Medical Equipment Ordering Division

COMPETITION ADVOCATE APPROVAL:

Joy M. Smith
Director of Contracts, Acquisition Services 4-6
Procuring Activity Advocate for Competition (NAC)
Strategic Acquisition Center